

Integration & conglomerates

3.3.2.3 Business growth · Mr. Akram — Akademy

Inorganic growth happens through **mergers** (firms agree to join) and **takeovers/acquisitions** (one firm buys control of another). The type of integration depends on where the firms sit in the supply chain and market.

Horizontal integration

Joining a firm at the **same stage** of production in the **same market** (e.g. T-Mobile + Orange → EE). Benefits: market share, less competition, economies of scale. Drawbacks: regulators may block it; culture clashes; diseconomies.

Vertical integration

- **Backward** — buying a **supplier** (car maker buys its tyre supplier; Nescafé buys coffee growers): secures supply, quality and margins.
- **Forward** — buying a **distributor/retailer** (bean producer buys coffee shops): secures route to market and captures retail profit.
- Drawbacks: may lack expertise in the new stage; costly; less flexible. Heineken uses both vertical and horizontal integration.

Conglomerate integration

Two **unrelated** businesses integrate. Advantage: diversification spreads risk (one market balances another). Disadvantage: no expertise in the new industry, split management attention, distraction from the core business.

Apply it

- Benefits and drawbacks of a coffee manufacturer (e.g. Nescafé) taking over its coffee-bean supplier?
- Ferrero: evaluate the Oltan Group (backward vertical) vs Thorntons (UK retail) takeovers — which better improved profits?